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EDUCATION EXAMINATION

(Mock Test 29)

Suggested Solution

Paper 1

1. C	11. A	21. B	31. B	41. A
2. D	12. A	22. C	32. B	42. A
3. D	13. D	23. A	33. A	43. A
4. A	14. D	24. A	34. C	44. B
5. A	15. B	25. C	35. D	45. A
6. D	16. B	26. A	36. B	
7. C	17. B	27. A	37. D	
8. C	18. C	28. C	38. A	
9. D	19. D	29. C	39. B	
10. D	20. B	30. C	40. D	

Explanation

1. Answer: C

Jason would choose the first option as the benefit of choosing the first option (the value of the first option) is higher than the cost (the value of the second option).

Option C is correct. This would reduce the value of the third option. This would not affect Jason's cost or benefit of choosing the first option.

Option A is incorrect. This would increase the value of the first option, thus increasing Jason's benefit of choosing the first option.

Option B is incorrect. This would increase the value of the second option, thus increasing Jason's cost of choosing the first option.

Option D is incorrect. This may increase the value of the third option to a level higher than that of the second option, so the cost of choosing the first option may change from the value of the second option to that of the third option.

2. Answer: D

Mr. Chan's statement describes the effect of the suspension of evening dine-in services on restaurants with no value judgement, and it is refutable by facts, so it is a positive statement.

Miss Ho's statement makes a value judgement on whether the measures are enough, and it is not refutable by facts, so it is a normative statement.

3. Answer: D

The government's proposal to provide community and residential care services and social work services is about the types of services to provide, so it is related to the 'what to produce' question.

The government proposes that the elderly, persons with disabilities and children can enjoy the services, so it is related to the 'for whom to produce' question.

4. Answer: A

Since there is only one owner in a sole proprietorship, the owner does not need to get approval before making decisions. Thus, the owner enjoys a higher degree of flexibility and autonomy.

Option B is incorrect. A sole proprietorship and a partnership are subject to the same profits tax rate.

Option C is incorrect. Neither a sole proprietorship nor a partnership is a legal entity, so the owner(s) bear(s) unlimited liability.

Option D is incorrect. Neither a sole proprietorship nor a partnership is a legal entity, so the continuity of the business depends on the lifespan of the owner(s).

5. Answer: A

The anti-epidemic service bags are excludable in consumption. When someone receives an anti-epidemic service bag, it is possible for him/her to prevent others from using it, so they are private goods.

6. Answer: D

Under the previous wage payment scheme, the workers were inefficient and had poor service attitudes, reflecting that their wages may not have directly depended on output and service quality. Thus, it may have been a time rate scheme.

Under the new wage payment scheme, the number of customers served each day increased and fewer complaints were received from customers, reflecting that the wages of the workers may depend on output and service quality. Thus, it may be a basic salary plus commission scheme.

7. Answer: C

As firm A has a higher labour productivity, we can infer that firm A probably uses more capital goods and practises a higher degree of division of labour.

(1) is incorrect. If firm A uses time rate while firm B uses piece rate to pay their workers, firm A will probably has a lower labour productivity, which is inconsistent with the information given.

8. Answer: C

Machines (units)	Labour (units)	Average product (units)	Total product (units)	Marginal product (units)
10	5	40	200	-
10	6	50	300	100
10	7	65	455	155
10	8	85	680	225

(1) is correct. As machines are a fixed factor, fixed cost exists.

(2) is correct. As marginal product keeps increasing, the above data does not illustrate the law of diminishing marginal returns.

(3) is incorrect. As machines are a fixed factor, the firm is operating in the short run and does not enjoy economies of scale.

9. Answer: D

10. Answer: D

Output (units)	3	4	5	6	7
Original average cost (\$)	20	21	22	23	24
Total cost (\$)	60	84	110	138	168
Marginal cost (\$)	-	24	26	28	30

After the average cost of every unit of output increases by \$1:

Output (units)	3	4	5	6	7
Average cost (\$)	21	22	23	24	25
Total cost (\$)	63	88	115	144	175
Marginal cost (\$)	-	25	27	29	31

When the market price is \$27, the profit-maximising output is 5 units (where marginal cost = marginal revenue = price).

When the output is 5 units, total cost is \$115. Profit = $\$27 \times 5 - \$115 = \$20$.

11. Answer: A

The hourly wage of photographers is a variable cost. The decrease in the hourly wage of photographers will lead to a decrease in marginal cost. When the marginal cost of each unit of output decreases, the level of output that the firm is willing and able to supply at every given price will increase. The profit-maximising output level will thus increase.

Options B and D are incorrect. They involve changes in fixed costs, which will not affect the determination of the profit-maximising output level.

Option C is incorrect. This will result in an increase in marginal cost. The profit-maximising output level will decrease.

12. Answer: A

The money price of high-quality oysters is generally higher than that of low-quality oysters. When the per-unit tax is added, the relative price of high-quality oysters (in terms of low-quality oysters) will decrease. According to the law of demand, people will buy more high-quality oysters relative to low-quality oysters, so the proportion of high-quality oysters sold in Country A will increase.

Option B is incorrect. When the per-unit tax is added, the price of oysters will increase and the quantity demanded will decrease. The total weight of oysters consumed by the people of Country A will decrease.

Option C is incorrect. When the per-unit tax is added, the price of oysters will increase and the quantity demanded will decrease. The change in total expenditure is uncertain, depending on the price elasticity of demand.

Option D is incorrect. As the proportion of high-quality oysters sold in Country A will increase, the average quality of oysters sold in Country A will increase.

13. Answer: D

(1) is correct. The demand for air travel will lead to a derived demand for airports. When the price of air travel decreases, its quantity demanded will increase and the demand for airports will increase.

(3) is correct. Film cameras and film are in joint demand. When the price of film cameras decreases, their quantity demanded will increase. The demand for film will also increase.

(2) is incorrect. Construction materials are factors of production for houses. Changes in the price of construction materials would affect the supply of houses, but not the demand.

14. Answer: D

When the price increases, Kevin's total expenditure decreases, showing that his demand for online games is elastic and the value of the price elasticity of demand coefficient is greater than 1 and smaller than infinity.

When the price increases, Brian's total expenditure remains unchanged, showing that his demand for online games is unitarily elastic and the value of the price elasticity of demand coefficient is 1.

15. Answer: B

The supply of good X decreases. As the percentage change in price is greater than the percentage change in quantity demanded, demand for good X is inelastic.

Option B is correct. When the expenditure on good X accounts for a small proportion of people's income, demand for good X tends to be less elastic. This is because a change in its price has little effect on the total expenditure.

Option A is incorrect. If there are many close substitutes for good X, demand for good X will tend to be more elastic. Consumers are more likely to switch to the substitutes when the price of good X increases.

Options C and D are incorrect. They are factors affecting price elasticity of supply.

16. Answer: B

17. Answer: B

When the price is \$12, the quantity supplied is 3 units. Producer surplus = $(\$12 - \$10) + (\$12 - \$11) + (\$12 - \$12) = \$3$.

When the price is \$13, the quantity supplied is 4 units. Producer surplus = $(\$13 - \$10) + (\$13 - \$11) + (\$13 - \$12) + (\$13 - \$13) = \$6$.

Therefore, if the price of coffee increases from \$12 to \$13, the producer surplus will increase by \$3.

18. Answer: C

The original equilibrium price is \$20 and the quantity transacted is 20 units.

If the government sets a price floor of \$25 on good X, the quantity transacted is 15 units.

Option C is correct. As the price of good X increases, the demand for good X's substitutes will increase.

Option A is incorrect. Original total sales revenue = $\$20 \times 20 \text{ units} = \400 . Total sales revenue after setting the price floor = $\$25 \times 15 \text{ units} = \375 . Total sales revenue will decrease.

Option B is incorrect. Sales volume will decrease from 20 units to 15 units.

Option D is incorrect. The consumer surplus will decrease.

19. Answer: D

The quota changes from effective (Q_1) to ineffective (Q_2). The market will return to the equilibrium. The price will decrease and the quantity transacted will increase.

(3) is correct. As the price decreases and the quantity transacted increases, consumer surplus will increase.

(4) is correct. As the market returns to the equilibrium, the deadweight loss will disappear and the total social surplus will increase.

(1) and (2) are incorrect. The changes in total sales revenue and producer surplus are uncertain, depending on the price elasticity of demand for good X.

20. Answer: B

Since the consumers' share of the subsidy is larger than that of the producers, the elasticity of demand is smaller than the elasticity of supply.

Option A is incorrect. Providing the per-unit subsidy will cause the producer surplus to increase.

Option C is incorrect. The ratio of producers' share of the subsidy to consumers' share of the subsidy is 1:2.

Option D is incorrect. The total revenue including the subsidy will increase.

21. Answer: B

A positive external effect (beneficial externality) exists when a person's action generates benefits to other parties, but the person does not receive any compensation.

The owners of the convenience stores gain from the increase in revenue, but the shopping mall does not receive any compensation for this, resulting in a positive external effect.

22. Answer: C

The difference in natural abilities among private piano teachers tends to be larger than that among security guards. A more gifted private piano teacher can earn much more than the average level.

23. Answer: A

(1) is correct. Launching the Working Family Allowance Scheme for eligible low-income families will increase the disposable income of low-income households. Private consumption expenditure will increase. Aggregate demand will increase. Aggregate output will increase. At the same time, the scheme will increase the income of low-income households while the income of high-income households remains unchanged. The income gap between the high-income households and the low-income households will be narrowed.

(2) is correct. Building more public housing will increase government expenditure. Aggregate demand will increase. Aggregate output will increase. At the same time, public housing as a transfer in kind can raise the real income of low-income households. The income gap between the high-income households and the low-income households will be narrowed.

(3) is incorrect. Decreasing the progressivity of the salaries tax will increase people's disposable income. Private consumption expenditure will increase. Aggregate demand will increase. Aggregate output will increase. However, as decreasing the progressivity of the salaries tax will lower the tax rates imposed on higher-income households, the income gap between the high-income households and the low-income households will be widened.

24. Answer: A

GDP at factor cost = Private consumption expenditure + Gross investment + Government consumption expenditure + Net exports – Indirect taxes + Subsidies

$$1,500 = 700 + (X - 50) + 500 + 100 - 15 + 50$$

$$X = 215$$

25. Answer: C

Since the price level decreased (with a negative percentage change) and the nominal GDP increased (with a positive percentage change), the real GDP increased.

$1 + \text{Growth rate of per capita nominal GDP} = (1 + \text{Growth rate of nominal GDP}) / (1 + \text{Growth rate of population size})$

$$\text{Growth rate of per capita nominal GDP} = (1 + 1.2\%) / (1 + 2.5\%) - 1 = -1.3\%$$

The growth rate of per capita nominal GDP is negative, meaning that the per capita nominal GDP decreased.

26. Answer: A

27. Answer: A

(1) is correct. When a major trading partner suffers an economic recession, the demand for domestic exports will decrease, and net exports will thus decrease. Aggregate demand will decrease and the aggregate demand curve will shift to the left.

(2) is correct. The government raising the salaries tax rate will reduce people's disposable income and private consumption expenditure will decrease. Aggregate demand will decrease and the aggregate demand curve will shift to the left.

(3) is incorrect. When firms expect the general price level to increase, they will reduce their present supply. Short run aggregate supply will decrease while aggregate demand will not change.

(4) is incorrect. When the government increases tax incentives for firms, investment expenditure will increase. Aggregate demand will increase and the aggregate demand curve will shift to the right.

28. Answer: C

If the fuel-exporting country imposes an embargo on fuel, the quantity of factors of production in Country A will decrease. Short run aggregate supply will decrease and the output level in the short run will decrease.

Option A is incorrect. If the price of fuel increases sharply, the cost of production will increase. Short run aggregate supply will decrease and the price level in the short run will increase.

Option B is incorrect. If Country A's equipment for delivering fuel is seriously damaged, Country A's long run aggregate supply will decrease and the price level in the long run will increase.

Option D is incorrect. If Country A develops a substitute for fuel, Country A's long run aggregate supply will increase and the output level in the long run will increase.

29. Answer: C

The decrease in the price of raw materials will increase short run aggregate supply. The output level will increase and the inflationary (output) gap will be widened.

Option A is incorrect. When the domestic currency appreciates, the relative price of its exports will increase and the relative price of its imports will decrease, resulting in a decrease in exports and an increase in imports. Net exports will decrease and aggregate demand will decrease. The output level will decrease, helping the economy narrow the inflationary (output) gap.

Option B is incorrect. When the government raises the business registration fee, investment expenditure will decrease. Aggregate demand will decrease. The output level will decrease, helping the economy narrow the inflationary (output) gap.

Option D is incorrect. When the government cancels the production subsidies provided to firms, the production cost of firms will increase. Short run aggregate supply will decrease. The output level will decrease, helping the economy narrow the inflationary (output) gap.

30. Answer: C

Restricted licence banks can accept time deposits and NCDs of any maturity of HK\$500,000 or above.

(1) is correct. As the amount of the deposit is less than HK\$500,000, a restricted licence bank cannot accept the deposit.

(2) is correct. Restricted licence banks do not accept demand deposits.

31. Answer: B

A withdrawal of HK\$10,000 from a time deposit account with a licensed bank will increase M1 by HK\$10,000, while M2 and M3 will remain unchanged.

Remitting HK\$3,000 overseas will result in a decrease in M1, M2 and M3 by HK\$3,000.

Putting the remainder (HK\$7,000) into her current account with a licensed bank will not affect M1, M2 or M3.

In summary, M1 will increase by HK\$7,000, and M2 and M3 will decrease by HK\$3,000.

32. Answer: B

(1) is correct. When the banks hold excess reserves, the deposits that can be loaned out are not fully loaned out, meaning that the deposit creation ability is not maximised.

(2) is correct. Monetary base = cash in public circulation + bank reserves, and money supply = cash in public circulation + bank deposits. Since banks have made loans, bank deposits will be greater than bank reserves, and the money supply will be greater than the monetary base.

(3) is incorrect. When banks hold excess reserves, the actual reserves will be greater than the required reserves. The actual reserve ratio will be higher than the required reserve ratio, and thus the actual banking multiplier will be smaller than the maximum banking multiplier.

33. Answer: A

At point A, the percentage change in real GDP is at the lowest level, indicating that the economy is in a trough. In this phase, business confidence is very low and the unemployment rate is high.

34. Answer: C

Since the expected real interest rate is higher than the actual real interest rate, the actual inflation rate is higher than the expected inflation rate. There is unanticipated inflation.

(2) is correct. The real value of the repayment made by the owners will decrease, so they will gain.

(3) is correct. The real value of the fixed rent paid by the tenants will decrease, so they will gain.

(1) is incorrect. The real value of the unemployment assistance received by the unemployed people will decrease, so they will lose.

(4) is incorrect. Since the interest rate of the bond will be adjusted according to inflation, the real value of the interest received by its holders will remain unchanged.

35. Answer: D

Quantity theory of money: $MV = PY$, where M = money supply, V = velocity of circulation of money, P = price level and Y = real output, assuming V is constant.

When the central bank lowers the required reserve ratio, the money supply (M) will increase, and nominal output (PY) will increase proportionately.

36. Answer: B

Monetary base = Cash in public circulation + Bank reserves

Money supply = Cash in public circulation + Bank deposits

(2) is correct. When the central bank raised the required reserve ratio, banks had to call back some of their loans from debtors or sell some of their assets to the public in order to fulfil the reserve requirement. Deposits would decrease and the money supply would decrease through deposit contraction. Raising the required reserve ratio would not affect reserves or cash in public circulation, so the monetary base would remain unchanged.

(1) is incorrect. When the central bank raised the discount rate, the money supply would decrease. Commercial banks had to borrow money from the central bank at a higher cost. The reserves of commercial banks would decrease and the monetary base would decrease.

(3) is incorrect. When the central bank sold government bonds to the public, cash in public circulation or bank deposits would be used to buy bonds. Both the monetary base and the money supply would decrease.

37. Answer: D

The increase in the statutory minimum wage will lead to an increase in labour costs, so some employers may lay off their employees, leading to an increase in the unemployed population. The unemployment rate will increase.

Option A is incorrect. When the government reduces the assistance to the unemployed, more people may look for jobs more actively for financial reasons. The unemployed population will decrease, and the unemployment rate will thus decrease.

Option B is incorrect. The new graduates returning to Hong Kong to work will increase the labour force while the unemployed population remains unchanged, so the unemployment rate will decrease.

Option C is incorrect. The investments of multinational enterprises in Hong Kong can create employment opportunities, and the unemployed population will decrease. The unemployment rate will thus decrease.

38. Answer: A

(2) is correct. The average tax rate paid by low-income earners decreases. For example, if someone earns a taxable income of \$60,000, he paid an average tax rate of 5% in the past and he pays an average tax rate of 2% now. At the same time, the average tax rate paid by high-income earners remains unchanged. The income gap between the rich and the poor will thus be narrowed.

(1) is incorrect. As the basic tax allowance remains unchanged, the tax base will remain unchanged.

(3) is incorrect. As the average tax rate paid by low-income earners decreases, their work incentive may increase, causing an increase in taxable income. The increase in tax revenue due to the increase in taxable income may be greater than the decrease in tax revenue due to the decrease in the tax rate, so the change in total tax revenue will be uncertain.

39. Answer: B

Hong Kong adopts a source principle of taxation. Only income and profits earned in Hong Kong are subject to taxation.

(1) is incorrect. Income earned outside Hong Kong will not be taxed.

(3) is incorrect. Dividend income is not subject to taxation in Hong Kong.

40. Answer: D

When aggregate demand decreases, the long run equilibrium point will shift from E to A.

Option D is correct. An increase in people's desire to save will lead to a decrease in private consumption expenditure. Aggregate demand will decrease. There will be a deflationary (output) gap in the economy. There will be excess supply in the factor market, resulting in a downward pressure on input prices. The cost of production will decrease. Short run aggregate supply will increase. In the long run, the output level will return to the full-employment output level (Y_1).

Option A is incorrect. When the government lowers the discount rate, the money supply will increase and the interest rate will decrease. Consumption and investment will increase. Aggregate demand will increase.

Option B is incorrect. When the government raises the import tariffs, imports will decrease. Net exports will increase and aggregate demand will increase.

Option C is incorrect. A decrease in the transportation cost for raw materials will result in an increase in short run aggregate supply without affecting aggregate demand.

41. Answer: A

When the required reserve ratio is lowered, the money supply will increase and the interest rate will decrease. Consumption and investment will increase. Aggregate demand will increase. Aggregate output will increase.

Option A is correct. The reduction in government transfer payments will reduce private consumption expenditure. Aggregate demand will decrease, which can offset the effect of lowering the required reserve ratio on aggregate output.

Option B is incorrect. An open market purchase of government bonds will lead to an increase in the money supply and a decrease in the interest rate. Consumption and investment will increase. Aggregate demand will increase. Aggregate output will increase.

Option C is incorrect. A decrease in the asset demand for money will lead to a decrease in the interest rate. Consumption and investment will increase. Aggregate demand will increase. Aggregate output will increase.

Option D is incorrect. An increase in production subsidies will lead to an increase in short run aggregate supply. Aggregate output will increase.

42. Answer: A

Country A's opportunity cost of producing 1 unit of bananas = 3 (15 / 5) units of tomatoes

Country B's opportunity cost of producing 1 unit of bananas = 5 (20 / 4) units of tomatoes

Since the opportunity cost of producing 1 unit of bananas in Country A is lower than that in Country B, Country A has a comparative advantage in producing bananas. It will specialise in the production and export of bananas.

Terms of trade: 1 unit of bananas = 4 units of tomatoes

Gain for the banana-exporting country (i.e. Country A) per unit of export = 4 units of tomatoes – 3 units of tomatoes – 0.5 units of tomatoes (transportation costs) = 0.5 units of tomatoes

Total gain for Country A from exporting 10 units of bananas = 0.5 units of tomatoes × 10 = 5 units of tomatoes

43. Answer: A

After the world price increases, total import value = (75 units – 45 units) × \$30 = \$900.

(1) is incorrect. The domestic consumption of the good will remain unchanged at 75 units.

(2) is incorrect. The domestic price of the good will remain unchanged at \$30 while the domestic production of the good will remain unchanged at 45 units. The revenue of domestic producers of the good will thus remain unchanged.

44. Answer: B

(2) is incorrect. The money spent on buying shares of a listed company in Hong Kong should be included in the capital and financial account.

45. Answer: A

In January, Katie exchanged USD 2,000 for JPY 212,600 (= 2,000 × 106.3).

In December, Katie exchanged JPY 212,600 for USD 1,888.1 (= 212,600 / 112.6).

As a result, Katie lost USD 111.9 (= 2,000 – 1,888.1).

Paper 2

Section A (44 marks)

1. (a) No. As they may have different alternative uses of the time spent on accessing the website, their time costs may not be the same. (3 marks)
- (b) (i) Normative statement. It involves a value judgement on what is fair, which is not refutable by facts. (2 marks)
- (ii) Yes. (1 mark)
- Private property rights refer to the exclusive right to use, the exclusive right to receive income from and the right to transfer a property owned by an individual. (1 mark)
- The private property rights for the ticket owners over the tickets using real-name registration will be weakened as the ticket owners' right of selling (or transferring) their ticket to others is confined. (1 mark)
2. (a) An advantage:
- The tutorial center can enjoy an independent legal status.
 - The tutorial center will have better continuity.
 - Any reasonable answer
- (Mark the **FIRST** point only)
- A disadvantage:
- The tutorial center needs to pay a higher profits tax rate.
 - Any reasonable answer
- (Mark the **FIRST** point only)
- (b) Law of diminishing marginal returns. The law states that in the short run, as more units of a variable factor are added to a given quantity of fixed factor successively, marginal product will decrease eventually, other things being constant. In this case, the tutors are a variable factor while the equipment of the tutorial center is a fixed factor. (5 marks)
- (c) Mr. Chan can adopt the basic salary plus commission scheme. The basic salary can safeguard the basic livelihoods of the tutors, which will help reduce the turnover rate. The income of the tutors will also depend on their performance. The tutors will most likely work harder to earn more commission, which will help improve their teaching quality. (2 marks)
- OR
- Any reasonable answer (2 marks)
3. (a) Possible advantages:
- Enjoying economies of scale: Through internal expansion, the firm can benefit from economies of scale as its production scale is enlarged. Average production costs can be lowered.
 - Diversifying sources of income and spreading risk: For example, when the online shopping platform suffers a loss, profits of the physical supermarkets may offset some of the loss of the online shopping platform.
 - Any reasonable answers
- (Mark the **FIRST TWO** points only)
- (b) Medium of exchange: Cash does not facilitate people's buying and selling of goods and services in the shop. (2 marks)

4. (a) Producer goods. (1 mark)
The exhibits are goods used in a production process to produce services (exhibition services). (1 mark)
- (b) Economic goods. (1 mark)
The exhibits are produced from scarce resources which have alternative uses. / More of the exhibits are preferred. (1 mark)
5. (a) (i) Required reserve ratio = $[(\$4,000 \text{ million} - \$1,000 \text{ million}) / \$15,000 \text{ million}] \times 100\%$
= 20% (1 mark)
- (ii) A possible reason:
- Banks may keep more reserves than required to prepare for sudden withdrawals of funds by a large number of depositors.
 - There is insufficient demand for loans.
 - Any reasonable answer
- (Mark the **FIRST** point only) } 1@, max: 1 mark
- (b) Original money supply = Cash in public circulation + Deposits
= 0 + \$15,000 million = \$15,000 million (1 mark)
After withdrawing \$2,000 million from the banking system, deposits
= $(\$4,000 \text{ million} - \$2,000 \text{ million}) \times (1 / 20\%) = \$10,000 \text{ million}$ (1 mark)
After \$1,000 million is remitted overseas, cash in public circulation = \$1,000 million.
New money supply = \$1,000 million + \$10,000 million = \$11,000 million (1 mark)
Change in money supply = \$11,000 million – \$15,000 million = –\$4,000 million (1 mark)
6. (a) QTM: $MV = PY$, where M = money supply, V = velocity of circulation of money, P = price level and Y = real output, assuming V is constant. When the percentage increase in Y is lower than the percentage increase in M, the percentage change in P will be positive, i.e. P will increase. An increase in P means inflation occurs. (4 marks)
- (b) Nominal interest rate = Real interest rate + Expected inflation rate
When there is expected inflation, the expected inflation rate is positive, so the nominal interest rate will be higher than the real interest rate. (2 marks)
7. (a) After specialisation, the output of jam increased by 40 (= 60 – 20) units, while the output of butter decreased by 50 units. Therefore, the opportunity cost of producing 1 unit of jam = 1.25 (= 50 / 40) units of butter. (2 marks)
- (b) Quantity of jam exported by Country A = 30 (= 60 – 30) units
Quantity of butter imported by Country A = 45 (= 45 – 0) units
Therefore, 30 units of jam can be exchanged for 45 units of butter. The terms of trade is 1 unit of jam = 1.5 units of butter. (2 marks)
- (c) Gain per unit of jam exported = 1.5 units of butter – 1.25 units of butter = 0.25 units of butter (1 mark)

Section B (60 marks)

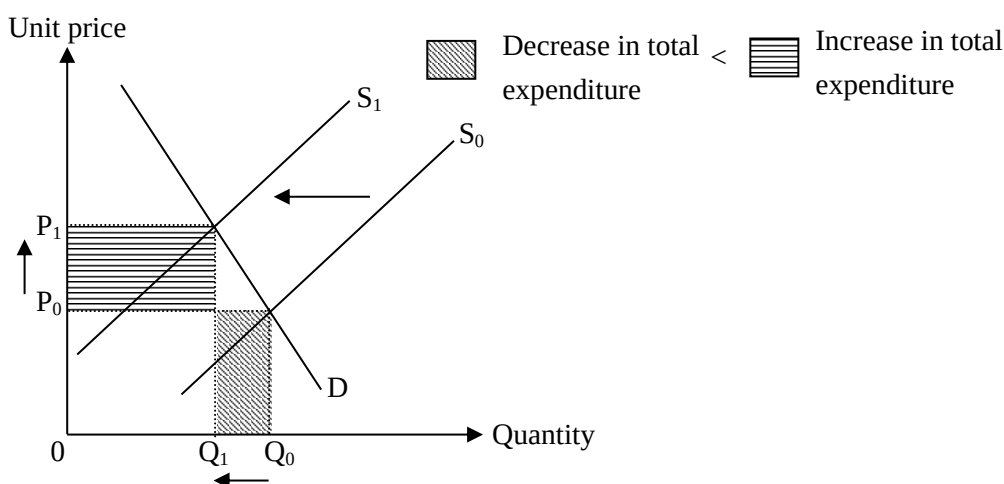
8. (a) (i) Indirect tax, (1 mark)
as the tax burden can be shifted from the party being taxed to other parties. (1 mark)
- (ii) No. Everyone faces the same amount of tax payment. The tax is not proportional to taxpayers' income, implying that it is inconsistent with the principle of 'equity'. (2 marks)

(b) Verbal elaboration:

- When the government imposes the per-unit tax, the supply of packaged rice will decrease. (1 mark)
- The price will increase and the quantity transacted will decrease. (1 mark)
- As the demand for packaged rice is inelastic, the percentage increase in price will be greater than the percentage decrease in quantity demanded. People's total expenditure on packaged rice will increase. (1 mark)

Illustrate in the diagram:

- leftward shift of the supply curve (1 mark)
- correct positions of increase in total expenditure and decrease in total expenditure (1 mark)
- increase in total expenditure > decrease in total expenditure (1 mark)



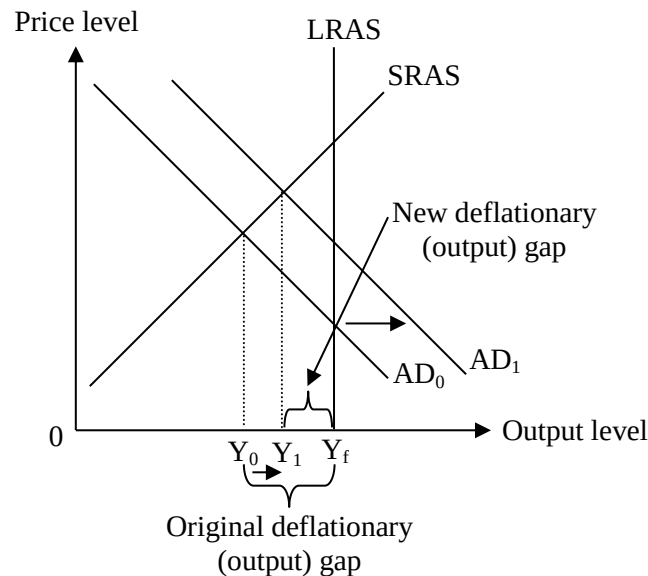
- (c) The law of demand states that an increase (a decrease) in the price of a good will result in a decrease (an increase) in its quantity demanded, *ceteris paribus*.
When the same amount of tax is added to each unit (package) of packaged rice, large packages of rice will become cheaper than small packages of rice per weight of rice. The relative price of large packages of rice (in terms of small packages of rice) will decrease. According to the law of demand, people will buy more large packages of rice relative to small packages of rice. The proportion of large packages of rice sold in the market will increase. Therefore the average weight of packages of rice purchased by people will increase. (5 marks)
9. (a) No. (1 mark)
No production is involved. (1 mark)
- (b) The recipients of OALA are mainly low-income people. Offering more allowance to them can raise their income. The income gap between high-income and low-income people will be narrowed, and income inequality will be improved. (2 marks)

(c) Verbal elaboration:

The disposable income of the elderly will increase and private consumption expenditure will increase. Aggregate demand will increase, narrowing the deflationary (output) gap. (4 marks)

Illustrate in the diagram:

- correct position of the original deflationary (output) gap (1 mark)
- rightward shift of the AD curve (1 mark)
- correct position of the new output level with a smaller deflationary (output) gap (1 mark)



10. (a) Public limited company/Listed company. (1 mark)

A feature:

- a legal entity
- limited liability
- lasting continuity
- higher profits tax rate than that for sole proprietorships and partnerships
- separation of ownership and management
- more complicated set-up procedures
- wider sources of capital than sole proprietorships and partnerships
- shares are freely transferable
- need to disclose its accounting information to the public
- any reasonable answer

(Mark the **FIRST** point only)

- (b) After the full opening of the East Rail Line, the geographical mobility of labour will increase, as workers are more willing to work in other regions with a better and more convenient transportation network. (3 marks)

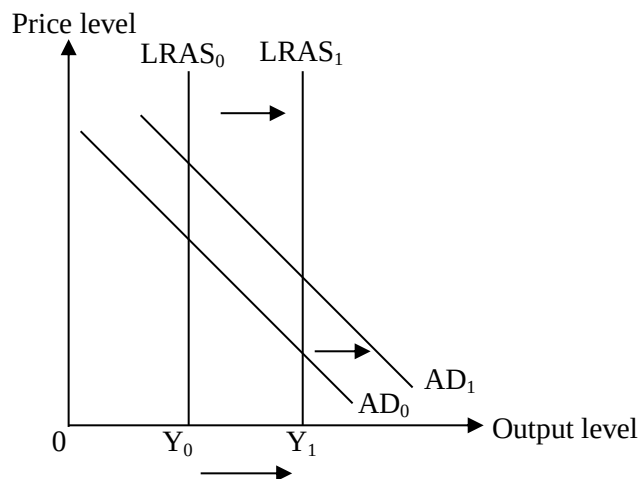
1@, max: 1 mark

(c) Verbal elaboration:

The construction of the East Rail Line Cross-Harbour Extension was funded by the government, so government expenditure would increase. Aggregate demand would increase. At the same time, the construction of East Rail Line Cross-Harbour Extension would increase Hong Kong's productive capacity. Long run aggregate supply would increase. In the long run, the output level would increase. (4 marks)

Illustrate in the diagram:

- rightward shift of the AD curve (1 mark)
- rightward shift of the LRAS curve (1 mark)
- a higher output level in the long run (1 mark)

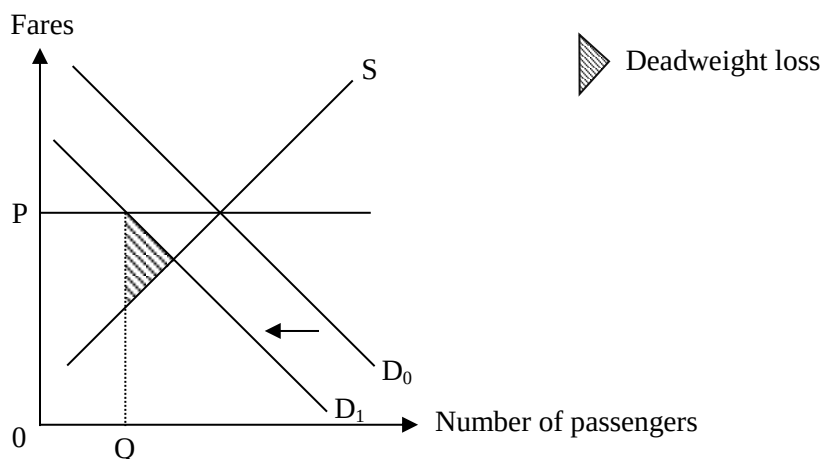


(d) Verbal elaboration:

The demand for bus services decreases, causing the fares set by the bus company to be higher than the equilibrium level. The marginal benefit of bus services is higher than the marginal cost. (2 marks)

Illustrate in the diagram:

- leftward shift of the demand curve (1 mark)
- correct positions of price and quantity (1 mark)
- correct position of deadweight loss (1 mark)



- (e) The full opening of the East Rail Line will make transport in areas along the railway more convenient, which may drive up the price and rental of properties in these areas. The property owners benefit from the increase in property prices without paying any compensation to the MTR Corporation. A positive externality may thus be involved. (3 marks)
- (f) Marks awarded for effective communication (EC: max 2 marks)

Marks	Performance
2	• Arguments supported with the source/data and appropriate economic theories • Relevant materials presented • Well-organised and coherent answers presented without repetition of ideas • Ideas clearly and fluently expressed with appropriate use of language/words/terms/symbols
1	• Arguments presented with some support of the source/data and economic theories • Some irrelevant materials presented • Answers presented in a less organised way with some repetition of ideas • A clear message conveyed with some inappropriate use of language/words/terms/symbols
0	• Arguments presented with no support of the source/data and economic theories • Materials unrelated to the gist of the question presented • Inconsistent arguments presented • Limited ideas expressed with inappropriate use of words/terms/symbols

The maximum marks for content are 12 marks. Answers may include the following:

Objective 1

- Suggestion I will reduce people's transportation choices. People who currently take buses will need to take the train or other means of transport. Trains will become more crowded, which may increase people's time cost of transportation.
- Suggestion II will increase the areas covered by railways and these areas will have more convenient transportation. The time cost of transportation for people living in these areas can be reduced. Besides, for people living in these areas who previously needed to change between multiple means of transport to get to their destinations, the construction of the new railway extension may reduce the number of means of transport they need to take, thereby reducing the monetary cost and time cost of transportation.
- The government will prefer Suggestion II, as it can better achieve the objective of reducing people's transportation costs.

Objective 2

- By cutting bus routes with low occupancy rates, the production cost of the bus companies may decrease. If the passengers of these bus routes switch to other bus routes, profits of the bus companies may increase. The government's profits tax revenue may increase. Suggestion I may help increase government revenue in the future.
- By constructing a new railway extension, rentals and prices of both commercial and residential properties in the related areas are expected to increase. The government's property tax revenue and stamp duty revenue may increase. Also, the geographical mobility of labour will increase. This may increase their opportunity of finding a job with higher income because they can travel farther away from their residential areas. The government's salaries tax revenue may increase. Suggestion II may help increase government revenue in the future.
- Both suggestions may achieve the goal of increasing government revenue in the future, but Suggestion II may have a more significant effect, so the government will prefer Suggestion II.

Objective 3

- Bus service operators may face an excess supply of labour due to the cutting of bus routes, which causes some bus drivers to be laid off. The number of unemployed people will increase and the unemployment rate will increase. Suggestion I cannot lower the unemployment rate.
- Suggestion II needs a large amount of labour and involves labour in different industries, creating many employment opportunities. This will help reduce the number of the unemployed and lower the unemployment rate.
- The government will prefer Suggestion II as it is more likely to achieve the objective of lowering the unemployment rate.

Section C (16 marks)

11. (a) Illustrate in the diagram:

- correct position of MR (1 mark)
- correct position of Q_M (1 mark)
- correct position of P_M (1 mark)

(b) (i) Illustrate in the diagram:

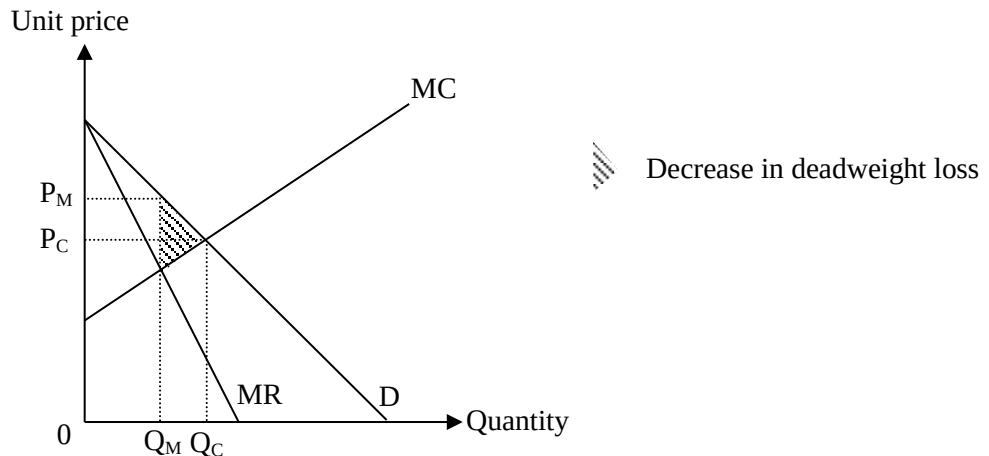
- correct position of Q_C (1 mark)
- correct position of P_C (1 mark)

(ii) Verbal elaboration:

Before the market structure changes, at the profit-maximising output level (Q_M), the marginal benefit is greater than the marginal cost. After the market structure changes, at the profit-maximising output level (Q_C), marginal benefit equals marginal cost. Deadweight loss is eliminated. (3 marks)

Illustrate in the diagram:

- correct position of the decrease in deadweight loss/decrease in the gap between marginal benefit and marginal cost (1 mark)



(c) Yes, because different groups of consumers (students and non-students) are charged different prices for the same good produced at the same cost. (3 marks)

(d) (i) Price fixing. (1 mark)

A possible motive:

- Price competition among book retailers can be reduced.
- Any reasonable answer

(Mark the **FIRST** point only)

} 1@, max: 1 mark

(ii) The first conduct rule. (1 mark)

This is a case of an anti-competitive agreement. (1 mark)

12. (a) As Country B can produce more clothing than Country A with the same amount of resources, Country B has an absolute advantage in producing clothing. (2 marks)

(b) As the slope of Country B's production possibility frontier is smaller than that of Country A, showing that Country B has a lower opportunity cost of producing clothing, Country B has a comparative advantage in producing clothing. (2 marks)

(c) (i) Illustrate in the diagram:

- correct position of P_{TA} (1 mark)

- correct position of P_{TB} (1 mark)

(ii) Illustrate in the diagram:

- correct position of CPF_B (1 mark)

- CPF_B is parallel to the world price line (1 mark)

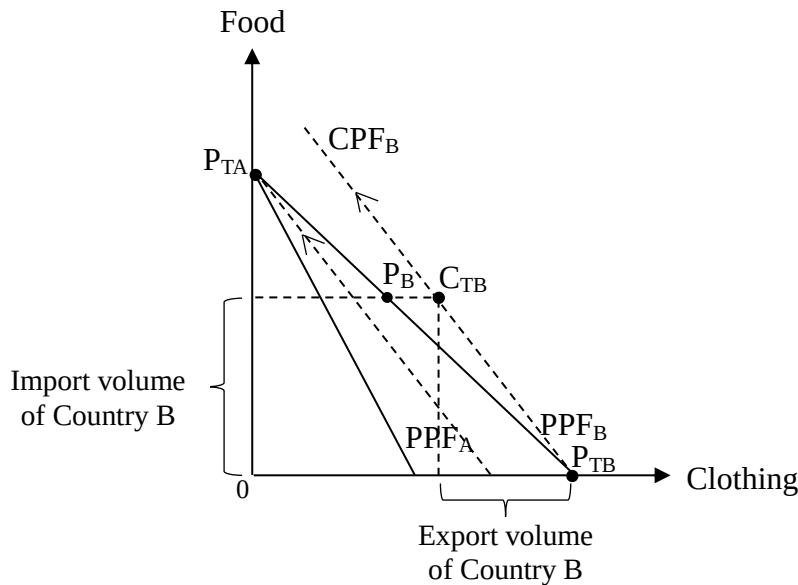
(d) Illustrate in the diagram:

- correct position of C_{TB}
- correct position of export volume
- correct position of import volume

(1 mark)

(1 mark)

(1 mark)



(e) (i) Country B,

(1 mark)

because Country B has higher per capita GDP and longer life expectancy at birth, both of which are indicators used to calculate the Human Development Index.

(1 mark)

(ii) A possible reason:

- Productivity may have increased due to the import of superior technology from trading partners, leading to higher per capita gross national income.
- Import of foreign health products or technology may have increased life expectancy.
- Any reasonable answer

1@, max: 1 mark

(Mark the **FIRST** point only)

(iii) A possible reason:

- Pollution problems in Country B may be more serious than that in Country A.
- Income inequality in Country B may be more serious than that in Country A.
- Any reasonable answer

1@, max: 2 marks

(Mark the **FIRST** point only)